Absorbing Transition DID Results: School 985 — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.007		0.016		-0.028
		(0.044)		(0.023)		(0.040)
× Voluntary Rotation		-0.012		-0.008		-0.009
		(0.009)		(0.006)		(0.007)
Pooled	-0.009		-0.004		-0.009	
	(0.007)		(0.004)		(0.007)	
Mandatory − Voluntary		0.005		0.024		-0.020
Difference p-value		0.908		0.316		0.634
Observations	45,029	39,944	45,029	39,944	45,029	39,944
Firms	5,349	5,065	5,349	5,065	5,349	5,065
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.015		0.026		-0.058
		(0.072)		(0.038)		(0.065)
× Voluntary Rotation		-0.015		-0.014*		-0.009
		(0.011)		(0.008)		(0.009)
Pooled	-0.013		-0.008		-0.013	
	(0.011)		(0.007)		(0.009)	
Mandatory − Voluntary		-0.001		0.040		-0.049
Difference p-value		0.992		0.292		0.455
Observations	29,894	28,060	29,894	28,060	29,894	28,060
Firms	3,254	3,220	3,254	3,220	3,254	3,220
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.006		0.002		0.009
		(0.015)		(0.012)		(0.012)
× Voluntary Rotation		-0.002		-0.003		-0.001
		(0.005)		(0.004)		(0.004)
Pooled	-0.003		-0.002		-0.001	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.008		0.004		0.010
Difference p-value		0.602		0.726		0.453
Observations	49,783	44,327	49,783	44,327	49,783	44,327
Firms	5,602	5,366	5,602	5,366	5,602	5,366
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.006		0.002		0.008
		(0.014)		(0.012)		(0.012)
× Voluntary Rotation		-0.002		-0.001		-0.002
		(0.005)		(0.003)		(0.004)
Pooled	-0.002		-0.001		-0.002	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		0.008		0.003		0.010
Difference p-value		0.605		0.814		0.441
Observations	51,644	46,086	51,644	46,086	51,644	46,086
Firms	5,602	5,401	5,602	5,401	5,602	5,401
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.